

22 April 2016

Formal adoption of the six-month application lapse policy for SFC-authorized mandatory provident fund (MPF) products and pooled retirement funds (PRFs)

1. The purpose of this circular is to announce that, with effect from 9 May 2016 (“Effective Date”), the six-month application lapse policy for processing applications seeking SFC’s authorization of (i) new MPF products (including MPF schemes, constituent funds and pooled investment funds) pursuant to the SFC Code on MPF Products and the Code on Unit Trust and Mutual Funds (where applicable); and (ii) PRFs pursuant to the Code on Pooled Retirement Funds will be formally adopted.
2. Capitalized terms shall have the same meaning as defined in the SFC’s circular issued on 9 October 2015 entitled [“Application Lapse Policy”](#) (“Oct 2015 Circular”) and the circular issued on 12 January 2016 entitled [“Circular to applicants of SFC-authorized mandatory provident fund products related to Default Investment Strategy \(“DIS”\)”](#) (“Jan 2016 Circular”) unless otherwise defined.

Background

3. Pursuant to the Oct 2015 Circular, the application lapse policy was implemented on 9 November 2015 for a six-month pilot period ending 8 May 2016 (“Pilot Period”).
4. The application lapse policy was introduced with a view to enhance the overall efficiency in the authorization process of MPF and PRF products, in line with the six-month application lapse period currently applied to other SFC-authorized investment products, without compromising investor interest and protection. For details regarding the application lapse policy for MPF and PRF products and DIS-related applications, please refer to the Oct 2015 Circular and the Jan 2016 Circular respectively.

Formal adoption of the six-month application lapse policy

5. Since its implementation, the SFC has been closely monitoring the operation of the six-month application lapse policy and consulted with the MPFA regarding the formal adoption of such policy on the Effective Date.
6. During the Pilot Period,
 - new product applications that were received under the six-month application lapse policy had been processed smoothly in accordance with the Revised Performance Pledges (as defined in the Oct 2015 Circular) and in the case of DIS-related applications, also in accordance with the Jan 2016 Circular; and

- there has been an overall enhancement on the authorization process.
7. In light of the above, the SFC's review and authorization process under the six-month application lapse policy for both MPF and PRF products and DIS-related applications as set out in the Oct 2015 Circular and the Jan 2016 Circular will be adopted in full from the Effective Date.

General

8. The application lapse policy will continue to apply to all new MPF and PRF product applications and in the case of DIS-related applications, also in accordance with the Jan 2016 Circular.
9. We will continue to regularly review and seek to improve our authorization process wherever appropriate and practicable.
10. Should you wish to clarify any aspects of this circular and/or in case of doubt, please contact the relevant case officers in charge.

Investment Products Division
Securities and Futures Commission